

transactions necessarily involve both a winner and a loser. In their view, it's impossible for both parties to gain. You may be the biggest widget seller and I the biggest buyer. You may have an oversupply of widgets and be desperate to sell; I may be in short supply and desperate to buy. We may deal of our own free will, openly, with perfect information on both sides. But if we eventually do a deal, according to the Spanish view of the world, one of us is sticking it to the other.

At first blush this winner/loser view may appear harmless. I can assure you it's far from harmless. Suppose, for example, you want to sell your home, worth \$50,000. I want to buy. We're both Spaniards. After considerable haggling, gamesmanship, name-calling, and good-natured bickering, we reach a deal. Surprise of surprises, the sale price is set at \$50,000. Before signing the final papers, we go home to sleep on the deal.

You're the seller. You figure the house is worth the sale price, and that means you're not sticking it to me. But if you're not sticking it to me, I *must* be sticking it to you. That's the only alternative, given the winner/loser view. Similarly, I as buyer decide I'm being fair. Therefore, you *must* be sticking it to me. How can it be any other way?

The next day we meet, supposedly to sign the papers. But you've raised your price to \$60,000. I've dropped my offer to \$40,000. Inevitably, the deal falls apart.

Extend this example to an entire country and you'll see why, in Spain, private deals don't get done. Only direct orders from the government can ensure that trucks roll, buildings get built, and products get sold. In Spain today a bureaucracy controls bus rides and hotel rooms, medical care and interest rates, steel and rice prices, and beer and wine production. Private deals are best viewed as aberrations, flukes in the system.

The winner/loser view is most pronounced in Galicia, the tiny state in Spain's northwest corner. Gallegos, as the people who live there are called, are so hopelessly unable to deal